

Carbon Risk Report

Fundname/ClientName(entityName)
Holdingsdatum (Format: Dec 2023)





Our philosophy

The transition to a low-carbon economy demands a transformation of the entire economy. All companies will be profoundly affected by this change. While this transition will inevitably be complex and difficult, it is essential to building a more resilient economy that benefits more people.

Zurich Invest's Reporting Goals

This reporting creates a communication channel with stakeholders for updating on the impact made and status of transformational change towards sustainability. By evaluating the success of our measures, we hope to raise awareness of what has already been done, and the effort necessary to achieve the overarching goal of a better future.

Throughout this report, the portfolio's ESG credentials will be demonstrated and its rating analyses transparently shown and compared against a more vanilla benchmark.

Details on the benchmark and its composition are provided on the following page.

We are a responsible investor

In this report, we will thoroughly analyze the portfolio with a focus on carbon emissions, fossil fuel reserves, and other carbon-related characteristics of the invested entities.

We will present the portfolio's CO2 data and compare it to a portfolio that replicates a relevant benchmark. Further information regarding the benchmark and its composition can be found on the following page.

Measures in five areas

Zurich Invest is committed to addressing climate change through a five-pronged strategy:

- Encourage social commitment: We work with our external asset managers to reduce the carbon footprint of our investments. Managers update us regularly on carbon footprint reduction and energy efficiency progress.
- Intensify ESG integration: We measure and manage climate risks in our customers' portfolios.
- Support climate-positive ventures: Through impact investing, we back projects that reduce greenhouse emissions. Our green bond investments aid issuers' energy efficiency efforts, and infrastructure investments focus on renewable energy projects.
- Target net zero portfolios by 2050: We aim for zero emissions across equity, bond, and real estate portfolios of our customers by 2050.
- Prioritize innovation and continuous advancement: We're always exploring new ways to mitigate climate risks for our customers.



Our Principles:

1. ESG Integration

Integrating ESG factors

- Training
- Information
- Process Integration
- Active Ownership



2. Impact Investing

Making an impact by offering dedicated solutions

- Intentionality
- Measurability
- Profitability

3. Advancing together

Collaborating to advance responsibly in investment

- Innovation
- Collaboration
- Public advocacy

Our strategy comprises the above three elements while consistently integrating climate action and exclusion screens.

Carbon Portfolio Analytics

In this report, we compare the portfolio's carbon data with its relevant benchmark throughout. Headline metrics include an absolute figure for portfolio carbon emissions ('total carbon emission') and intensity measures, such as the Carbon Footprint, Issuer's Carbon Intensity, Weighted Average Carbon Intensity, and Greenhouse Gas Emissions.

Methodology

Total Carbon Emissions

To calculate the portfolio carbon emissions, we sum up all the emissions in the portfolio based on the investor's ownership share.

Financed emissions refer to the greenhouse gases produced as a result of a financial institution's investment and lending activities, such as loans to industries causing high emissions. It's a measure of a bank's indirect environmental impact and falls under scope 3 emissions in a company's value chain.

$$\text{Financed Emissions}_{PC} = \sum \text{Emissions}_H * \frac{\text{Weight}_H * \text{Portfolio Value}}{\text{Enterprise Value}_H}$$

Carbon Footprint

The carbon footprint is a measure of total carbon emissions (t CO2e) normalized by the amount of investment (million \$), providing a more standardized and comparable assessment of carbon emissions per unit of investment (tCO2e/\$M investment).

Issuer's Carbon Intensity

Issuer's Carbon Intensity in an ESG (Environmental, Social, and Governance) carbon report refers to the amount of greenhouse gas emissions produced by a particular company or issuer, relative to its revenue. It is usually expressed in tons of CO2 equivalent per million dollars of revenue (tCO2e/\$M revenue).

tCO2e/\$Mrevenue

Weighted Average Carbon Intensity

Weighted average carbon intensity ('WACI') assesses the portfolio's exposure to potential market and regulatory risks related to carbon. It is calculated by multiplying the carbon intensity of each company in the portfolio by its weight and summing up these products.

$$\sum_n^i \text{portfolio weight}_i * \text{Issuer's carbon intensity}_i$$

Evaluating the carbon footprint of a portfolio is an initial stride towards addressing the investment implications of climate change. It establishes a foundation to guide future actions, encompassing activities such as reporting, engagement, decarbonization, and integrated risk management.



“Total carbon emissions measure the absolute amount of CO2 released, while the carbon footprint measures the CO2e emissions per unit of output or activity, such as per \$M invested.”

Illustrations are consistently presented by a set of repeating charts and tables to ensure clarity and transparency of information.

Attribution Analysis

In attribution analysis of carbon footprints, negative values represent areas that contribute to a smaller footprint relative to the benchmark, while positive values contribute to a larger relative footprint.

- Sector Allocation measures the impact of a manager’s decisions to over or underweight portfolio sectors relative to a benchmark. Negative values come from underweighting sectors with higher carbon footprints than the benchmark or overweighting sectors with carbon footprints lower than the benchmark.
- Stock Selection measures the impact of a manager’s security selection within a sector relative to a benchmark. Negative values in a sector come from selecting companies with lower footprints relative to those in the benchmark. The weight of the sector in the portfolio determines the size of the effect.
- Interaction measures the combined impact of a manager’s allocation and stock selection within a sector. For example, overweighting a sector with a lower carbon footprint relative to the benchmark results in negative interaction, while underweighting a sector with a lower relative carbon footprint leads to a positive interaction effect.

Composition by Sector

The column charts show the composition by sector of the portfolio and benchmarks by market capitalization as well as by each sector’s contribution to emissions. The purpose of this analysis is to give an order of magnitude of the emissions in the portfolio on a GICS Sector level and should not be used as a basis for comparing two individual companies.

This highlights that dominant sectors, in terms of emissions, tend to be Energy, Utilities, and Materials.

Holdings Table

The underlying company tables show emissions in two ways: 1) total emissions of the companies whose securities are in the portfolio, which provides an order of magnitude in an absolute sense, and 2) contribution of companies to the portfolio-level emissions. The tables also indicate whether the emissions data is reported or estimated, and how each company performs on Carbon Risk Management relative to peers.

To effectively manage the risks and capitalize on the opportunities associated with climate change, it is essential to employ reliable and consistent metrics.

What is our benchmark, and how is it calculated?

In our carbon portfolio analyses¹, we utilize a benchmark that mirrors the portfolio's asset allocation and sector exposure as closely as possible. This benchmark, composed in proportions similar to the portfolio, serves as a comparative basis for evaluating the fund's performance. This method enables us to accurately gauge the portfolio's performance against a benchmark that closely aligns with its investment strategy and composition.

Benchmark Description

This report analyses specific exposures of the (Client Name) portfolio with a focus on long-term, environmental risk factors.

To comparatively assess all key aspects of this report, which include reliable and coherent carbon metrics, we are benchmarking this portfolio against a widely recognized global equity index that includes a broad range of companies from developed and emerging markets. It provides investors with a comprehensive view of the global stock market by covering a large number of countries and sectors.

The index is often used as a benchmark to assess the performance of global equity portfolios and to track the overall performance of global stock markets. The index covers a large majority of the global investable equity universe.



The Portfolio comparison at a glance.

When compared to its benchmark, the portfolio shows:

12%

Carbon Footprint (t CO₂e/m invest)

32%

Weighted Average Carbon Intensity (t CO₂e/m sales)

57%

PRI rating achieved for our overall approach to responsible investing

¹ *All carbon portfolio metrics are based on S&P Trucost data unless otherwise stated. Calculations are based on the underlying companies into which the portfolio invests. Further detail in respect of the methodology can be found on the previous pages and at spglobal.com.

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I. Portfolio Key Metrics

Emissions



Scope 1
Direct emissions from sources that are owned or controlled by the company.



Scope 2
Indirect emissions produced by a third-party but utilized during the company's operations.



Scope 3
All other indirect emissions not included in scope 2, including financed emissions from external operations like transportation.



“Understanding the CO2 footprint of various sectors can help investors minimize their portfolio’s GHG emissions.”

Carbon (Scope 1 & 2)

Carbon Scope 1 and 2 Overview		
	Portfolio	Benchmark
Financed Emissions (Scope 1 and 2) tCO2e	10'549.43	12'549.02
Carbon Footprint (Scope 1 and 2) tCO2e/mio invested	134.56	215.34
Weighted Average Carbon Intensity (Scope 1 and 2) tCO2e/mio Sales	74.34	89.54

Carbon (Scope 3)

Carbon Scope 3 Overview		
	Portfolio	Benchmark
Financed Emissions (Scope 1 and 2) tCO2e	10'549.43	12'549.02
Carbon Footprint (Scope 1 and 2) tCO2e/mio invested	134.56	215.34
Weighted Average Carbon Intensity (Scope 1 and 2) tCO2e/mio Sales	74.34	89.54

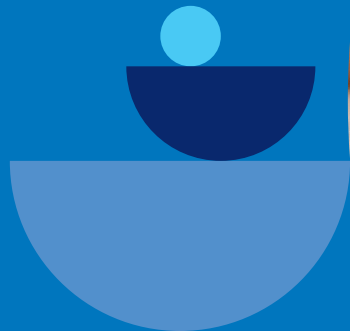
Corporate vs. Sovereign Issuers

Corporate emissions focus on the carbon footprint of individual companies, highlighting their contribution to greenhouse gas emissions and climate change. We consider various data points specific to each company, such as emissions factors, intensity metrics, and trend calculations.

Sovereign emissions analysis examines the exposure of a country to transition risks and its vulnerability to climate change impacts at an economic and physical level. we gather data from reputable sources like the United Nations (UN), World Bank, and Central Intelligence Agency (CIA), among others. This data includes carbon emissions factors (CO2 and GHG), their corresponding intensities, and trend calculations, which provide insights into the carbon footprint associated with sovereign investments.



II. Absolute Carbon Emissions



II. Absolute Carbon Emissions

High Level

Carbon Emissions Data Availability:

- Portfolio:
- Scope 1&2: **89.6%**
 - Scope 3: **78.5%**
- Benchmark:
- Scope 1&2: **89.6%**
 - Scope 3: **78.5%**



If a bank provides a loan to a coal-fired power plant, the emissions resulting from the operation of that power plant would be considered financed carbon emissions.

Financed Carbon Emissions (Scope 1 and 2)

Financed carbon emissions refer to the greenhouse gas emissions that are associated with the activities, projects, or entities that receive financial support or funding from an institution, such as a bank, investor, or financial institution.

10'988.4

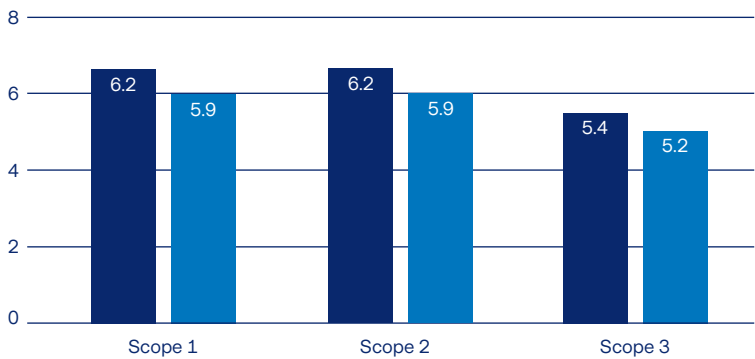
[Client Name]

7'485.5

Benchmark

Financed Carbon Emissions (Scope 3)

Metrics shown in tCO2e



Composition by Sector

The column chart in the lower right shows the composition by sector of the portfolio and benchmarks by market capitalization as well as by each sector's contribution to emissions.



II. Absolute Carbon Emissions

Attribution Analysis

Financed Emissions Attribution Analysis								
Corporate Sectors	Portfolio Weight	Benchmark Weight	Portfolio Emissions	Benchmark Emissions	Sector Attribution	Stock Selection	Interaction	Total
Communication Services	-	-	-	-	-	-	-	-
Consumer Discretionaries	-	-	-	-	-	-	-	-
Consumer Staples	0.0%	0.0%	0.0%	24.1%	0.0%	22.3%	42.3%	11.3%
Energy	0.0%	0.0%	14.4%	17.6%	19.1%	14.9%	0.0%	33.9%
Financials	-	-	-	-	-	-	-	-
Health Care	0.0%	0.0%	0.0%	0.0%	65.3%	0.0%	0.0%	34.7%
Industrials	-	-	-	-	-	-	-	-
Information Technologies	0.0%	0.0%	0.0%	100%	0.0%	0.0%	0.0%	0.0%
Materials	-	-	-	-	-	-	-	-
Real Estate	0.0%	0.0%	0.0%	100%	0.0%	0.0%	0.0%	0.0%
Utilities	0.0%	0.0%	0.0%	22.6%	0.0%	64.7%	0.0%	12.7%
Portfolio	100.0%	100.0%	100.0%	100.0%	0.0%	64.7%	0.0%	12.7%

Interpretation

The attribution analysis evaluates how stock selection and sector weighting drive the portfolio carbon footprint versus the benchmarks.

Areas with negative values indicate that they have emissions lower than the benchmark, whereas areas with positive values have emissions that are relatively higher.

Investors who monitor their portfolio emissions might want to keep in mind that changes in such emissions do not solely reflect decarbonization by constituent companies. Changes in the composition of portfolios, including from rebalances and reweighting, can contribute more to portfolio emissions than the ups and downs in companies’ emissions themselves. Attribution offers a way to disentangle those effects.



The ability to attribute emissions with precision holds practical significance for investors who aim to bring credibility to climate commitments while also managing financial risk.

II. Absolute Carbon Emissions

Holdings Breakdown

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Holdings Breakdown Overview

The company tables show emissions in two ways: 1) total emissions of the companies whose securities are in the portfolio, which provides an order of magnitude in an absolute sense, and 2) contribution of companies to the portfolio-level emissions.

LARGEST ¹ 5 HOLDINGS IN THE PORTFOLIO				
Issuer	Sector	Weight	Scope 1 and 2 Financed Emissions	Contribution
Taiwan Semiconductor Manufacturing Co., Ltd.	Information Technology	5.54%	3'485.4	85.4
Tencent Holdings Limited	Communication Services	4.18%	238.4	85.4
Samsung Electronics Co., Ltd.	Information Technology	3.73%	1.6	85.4
Alibaba Group Holding Limited	Consumer Discretionary	2.60%	0.6	85.4
Meituan	Consumer Discretionary	1.55%	895.3	85.4

WORST ² 5 HOLDINGS IN THE PORTFOLIO				
Issuer	Sector	Weight	Scope 1 and 2 Financed Emissions	
Taiwan Semiconductor Manufacturing Co., Ltd.	Information Technology	5.54%	3'485.4	85.4
Tencent Holdings Limited	Communication Services	4.18%	238.4	85.4
Samsung Electronics Co., Ltd.	Information Technology	3.73%	1.6	85.4
Alibaba Group Holding Limited	Consumer Discretionary	2.60%	0.6	85.4
Meituan	Consumer Discretionary	1.55%	895.3	85.4



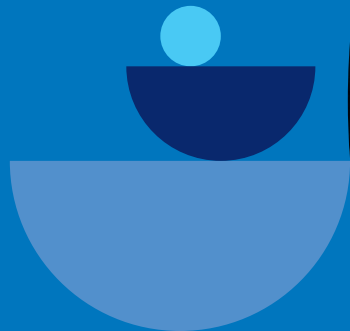
Each holding's contribution to carbon emissions should be assessed in conjunction with the company's carbon risk management efforts, ensuring alignment between the company's goals and our own ESG perspective.

1 Largest holdings refers to the relative position size of the holdings within the total portfolio. This information helps identifying the portfolio's most significant investments in terms of their contribution to the overall portfolio's carbon emissions.

2 Worst holdings refers to positions that have the highest relative contribution to the total portfolio emissions. By identifying these positions, we can assess the potential risks associated with these investments from a carbon emissions perspective.



III. Relative Carbon Footprint



III. Relative Carbon Footprint

High Level

TBD

Relative Carbon Footprint Data Availability:

Portfolio:

- Scope 1&2: **89.6%**

- Scope 3: **78.5%**

Benchmark:

- Scope 1&2: **89.6%**

- Scope 3: **78.5%**



Carbon Footprint is the most intuitive carbon metric of the portfolio's environmental impact

For the purpose of the Swiss Climat Escores: Total carbon emissions for a portfolio normalized by the market value of the portfolio, expressed in tons CO2e per CHF million invested.

Relative Carbon Footprint (Scope 1 and 2)

Metrics shown in tCO2e/mio invested

This is the total direct (Scope 1) and energy-related indirect (Scope 2) emissions from an entity, normalized per unit of output or revenue.

188.4

[Client Name]

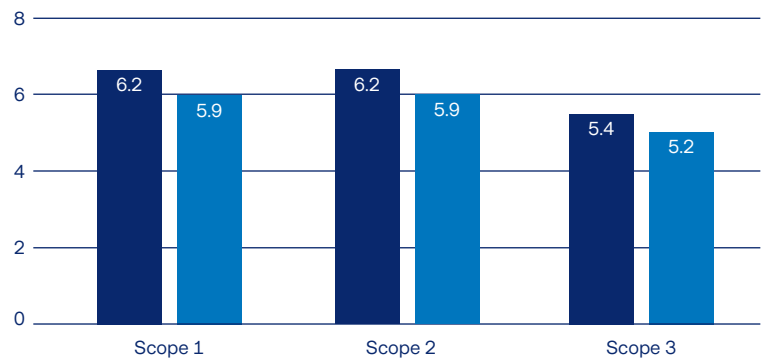
285.5

Benchmark

Relative Carbon Footprint (Scope 3)

Metrics shown in tCO2e/mio invested

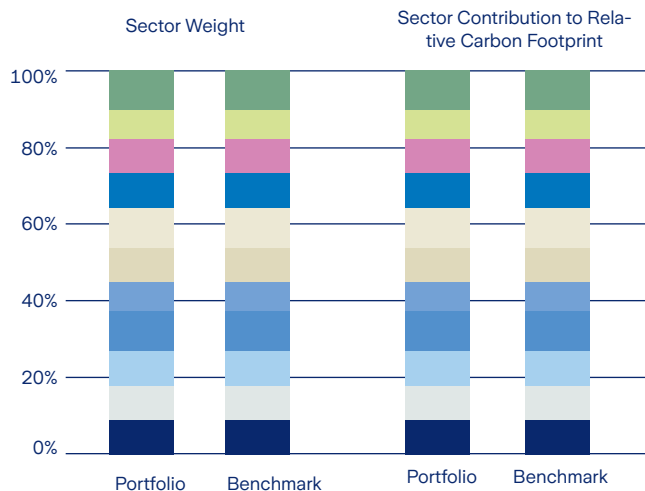
This refers to all other indirect emissions (not covered in Scope 2) from an entity's value chain activities, normalized per unit of output or revenue.



Composition by Sector

The column chart in the lower right shows the composition by sector of the portfolio and benchmarks by market capitalization as well as by each sector's contribution to emissions. This highlights that dominant sectors, in terms of emissions, tend to be Energy, Utilities, and Materials.

- Real Estate
- Financials
- Communication Services
- Consumer Staples
- Consumer Discretionary
- Health Care
- Utilities
- Information Technology
- Industrials
- Energy
- Materials



III. Relative Carbon Footprint

Attribution Analysis

“Carbon footprinting” a mutual fund means accounting for the quantification and management of GHGs. It is the first step towards understanding an investor’s impact on climate change.

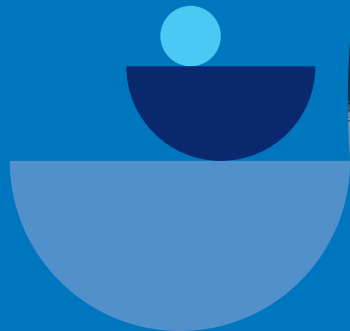
Relative Carbon Footprint Attribution Analysis								
Corporate Sectors	Portfolio Weight	Benchmark Weight	Portfolio Carbon Footprint	Benchmark Carbon Footprint	Sector Allocation	Stock Selection	Interaction	Total
Communication Services	-	-	-	-	-	-	-	-
Consumer Discretionaries	-	-	-	-	-	-	-	-
Consumer Staples	0.0%	0.0%	0.0%	24.1%	0.0%	22.3%	42.3%	11.3%
Energy	0.0%	0.0%	14.4%	17.6%	19.1%	14.9%	0.0%	33.9%
Financials	-	-	-	-	-	-	-	-
Health Care	0.0%	0.0%	0.0%	0.0%	65.3%	0.0%	0.0%	34.7%
Industrials	-	-	-	-	-	-	-	-
Information Technologies	0.0%	0.0%	0.0%	100%	0.0%	0.0%	0.0%	0.0%
Materials	-	-	-	-	-	-	-	-
Real Estate	0.0%	0.0%	0.0%	100%	0.0%	0.0%	0.0%	0.0%
Utilities	0.0%	0.0%	0.0%	22.6%	0.0%	64.7%	0.0%	12.7%
Portfolio	100.0%	100.0%	100.0%	100.0%	0.0%	64.7%	0.0%	12.7%

Interpretation

This table provides a breakdown of the relative carbon footprint of the portfolio compared to the benchmark. It highlights the contributions of sectors, and the factors influencing the carbon footprint.

Areas with negative values indicate that they have emissions lower than the benchmark, whereas areas with positive values have emissions that are relatively higher..

IV. Weighted Average Carbon Intensity



IV. Weighted Average Carbon Intensity

High Level

Weighted Average Carbon Intensity Data Availability:
Portfolio:
- Scope 1&2: **89.6%**
- Scope 3: **78.5%**
Benchmark:
- Scope 1&2: **89.6%**
- Scope 3: **78.5%**

Weighted Average Carbon Intensity (Scope 1 and 2)

Metrics shown in tCO2e/mio Sales

WACI Scope 1&2: This represents the weighted average of a company's Scope 1 and Scope 2 greenhouse gas emissions, normalized per million dollars of revenue. It provides an intensity measure that reflects a company's carbon efficiency.

188.4

[Client Name]

285.5

Benchmark

Compositions by Sector

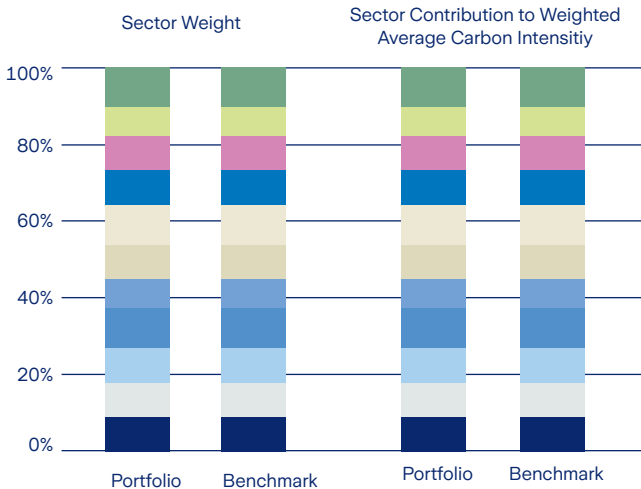
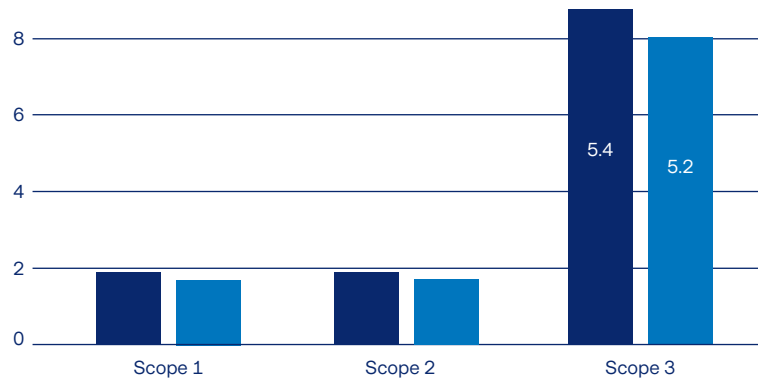
The table to the right shows sector weights and Weighted Average Carbon Intensity. And the column chart shows the composition by sector of the portfolio and benchmarks by market capitalization as well as by each sector's contribution to the Weighted Average Carbon Intensity

- Real Estate
- Financials
- Communciation Services
- Consumer Staples
- Consumer Discretionary
- Health Care
- Utilities
- Information Technology
- Industrials
- Energy
- Materials

Weighted Average Carbon Intensity (Scope 3)

Metrics shown in tCO2e/mio Sales

This refers to the weighted average of a company's Scope 3 emissions that occur in the company's value chain, normalized per million dollars of revenue. It offers insight into the carbon efficiency of a company's entire supply chain.



IV. Weighted Average Carbon Intensity

Attribution Analysis

Weighted Average Carbon Intensity Attribution Analysis								
Corporate Sectors	Portfolio Weight	Benchmark Weight	Portfolio Carbon Footprint	Benchmark Carbon Footprint	Sector Allocation	Stock Selection	Interaction	Total
Communication Services	-	-	-	-	-	-	-	-
Consumer Discretionaries	-	-	-	-	-	-	-	-
Consumer Staples	0.0%	0.0%	0.0%	24.1%	0.0%	22.3%	42.3%	11.3%
Energy	0.0%	0.0%	14.4%	17.6%	19.1%	14.9%	0.0%	33.9%
Financials	-	-	-	-	-	-	-	-
Health Care	0.0%	0.0%	0.0%	0.0%	65.3%	0.0%	0.0%	34.7%
Industrials	-	-	-	-	-	-	-	-
Information Technologies	0.0%	0.0%	0.0%	100%	0.0%	0.0%	0.0%	0.0%
Materials	-	-	-	-	-	-	-	-
Real Estate	0.0%	0.0%	0.0%	100%	0.0%	0.0%	0.0%	0.0%
Utilities	0.0%	0.0%	0.0%	22.6%	0.0%	64.7%	0.0%	12.7%
Portfolio	100.0%	100.0%	100.0%	100.0%	0.0%	64.7%	0.0%	12.7%

Interpretation

This table provides a breakdown of the portfolio's weighted average carbon intensity and highlights the factors contributing to its composition. It highlights the contributions of sectors, and the factors influencing the portfolio weighted average intensity

Areas with negative values indicate that they have emissions lower than the benchmark, whereas areas with positive values have emissions that are relatively higher.



TBD

IV. Weighted Average Carbon Intensity

Holdings Breakdown

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LARGEST¹ 5 HOLDINGS IN THE PORTFOLIO

Issuer	Sector	Weight	Scope 1 and 2 Carbon Intensity
Taiwan Semiconductor Manufacturing Co., Ltd.	Information Technology	5.54%	3'485.4
Tencent Holdings Limited	Communication Services	4.18%	238.4
Samsung Electronics Co., Ltd.	Information Technology	3.73%	1.6
Alibaba Group Holding Limited	Consumer Discretionary	2.60%	0.6
Meituan	Consumer Discretionary	1.55%	895.3

WORST² 5 HOLDINGS IN THE PORTFOLIO

Issuer	Sector	Weight	Scope 1 and 2 Carbon Intensity
Taiwan Semiconductor Manufacturing Co., Ltd.	Information Technology	5.54%	3'485.4
Tencent Holdings Limited	Communication Services	4.18%	238.4
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Alibaba Group Holding Limited	Consumer Discretionary	2.60%	0.6
Meituan	Consumer Discretionary	1.55%	895.3

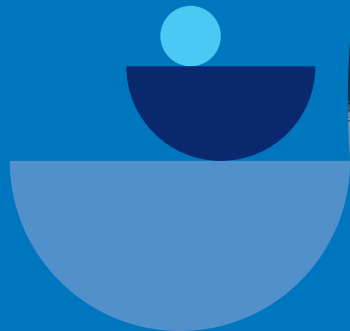


The tables also indicate, how each company performs on Carbon Risk Management relative to peers.

- 1 Largest holdings refers to the relative position size of the holdings within the total portfolio. This information helps identifying the portfolio's most significant investments in terms of their contribution to the overall portfolio's carbon intensity
- 2 Worst holdings refers to positions that have the highest relative contribution to the portfolio-level Weighted Average Carbon Intensity. By identifying these positions, we can assess the potential risks associated with these investments from a carbon emissions perspective.



V. Fossil Fuels



V. Fossil Fuel Reserves

Stranded Assets

In the realm of ESG, stranded assets typically refer to assets with a large carbon footprint, such as coal, oil, and gas (fossil fuels). With many countries now committed to achieving net zero emissions by 2050, these energy sources are at risk of being stranded.

Coal has the highest carbon intensity among fuel types, emitting approximately twice as much carbon per kilowatt hour (kWh) compared to natural gas. Extracting unconventional oil and gas sources, like oil sands, can also be costly due to geological, technical, and environmental challenges, making them particularly climate-unfriendly.

This poses a problem for any energy or utility company that has invested in fossil fuel reserves which cannot be burned if they are to comply with the Paris Agreement. These stranded assets would need to be written off.

The below table shows the weight of the portfolio and benchmark made up by companies that own thermal coal, oil and gas reserves.

Portfolio	Benchmark
6.5% All Fossil Fuels	6.5% All Fossil Fuels
0% Coal Reserves	0% Coal Reserves
6.5% Oil and Gas Reserves	6.5% Oil and Gas Reserves

To achieve a decarbonized world, both the demand side (such as Utilities using fossil fuels) and supply side (i.e. fossil reserves) of future emissions must be addressed. Utilities need to consider whether their power generation comes from renewable (green) or fossil (brown) sources, while fossil reserve owning companies face stranded asset risk due to potential future greenhouse gas emissions.



Stranded assets mean lost value for the company and a loss of shareholder returns.

V. Fossil Fuel Reserves

Holdings Breakdown

LARGEST¹ 5 HOLDINGS IN THE PORTFOLIO WITH FOSSIL FUEL RESERVES

Issuer	Sector	Weight	Fossil Fuel Reserves
Taiwan Semiconductor Manufacturing Co., Ltd.	Information Technology	5.54%	3'485.4
Tencent Holdings Limited	Communication Services	4.18%	238.4
Samsung Electronics Co., Ltd.	Information Technology	3.73%	1.6
Alibaba Group Holding Limited	Consumer Discretionary	2.60%	0.6
Meituan	Consumer Discretionary	1.55%	895.3

LARGEST¹ 5 HOLDINGS IN THE PORTFOLIO WITH COAL RESERVES

Issuer	Sector	Weight	Coal Reserves
Taiwan Semiconductor Manufacturing Co., Ltd.	Information Technology	5.54%	3'485.4
Tencent Holdings Limited	Communication Services	4.18%	238.4
Samsung Electronics Co., Ltd.	Information Technology	3.73%	1.6
Alibaba Group Holding Limited	Consumer Discretionary	2.60%	0.6
Meituan	Consumer Discretionary	1.55%	895.3

LARGEST¹ 5 HOLDINGS IN THE PORTFOLIO WITH OIL AND GAS RESERVES

Issuer	Sector	Weight	Oil and Gas Reserves
Taiwan Semiconductor Manufacturing Co., Ltd.	Information Technology	5.54%	3'485.4
Tencent Holdings Limited	Communication Services	4.18%	238.4
Samsung Electronics Co., Ltd.	Information Technology	3.73%	1.6
Alibaba Group Holding Limited	Consumer Discretionary	2.60%	0.6
Meituan	Consumer Discretionary	1.55%	895.3

The tables indicate the largest contributors to portfolio reserves in Thermal Coal, Gas, and Oil, and whether these companies have unconventional sources of reserves such as oil sands, shale oil, and shale gas.



1. Largest holdings refers to the relative position size of the holdings within the total portfolio. This information helps identifying the portfolio's most significant investments in terms of their contribution to fossil fuel reserves.

VI. Glossary

Carbon Intensity

Amount of carbon dioxide (CO₂) emissions produced per unit of economic activity or output. It measures the greenhouse gas emissions intensity of a company, sector, or investment portfolio

Climate change

Change in climate patterns and extreme weather conditions attributed to the emission of carbon dioxide into the atmosphere, mainly from the use of fossil fuels.

Controversies

In the context of ESG, a controversy is a breach of ESG standards established by international bodies such as UN Global Compact on the key pillars of Environment; Human rights&community; Labour rights & supply chain; Customers and Governance. Also known as Stewardship.

Engagement

The process of communicating with representatives of a company as a shareholder with the aim of improving their behaviour and policies. Engagement can be with representatives of the company's board or managers. Engagement may have defined ESG topics or targets to discuss. Also known as Stewardship.

Environmental factors

The E in ESG. Includes assessing factors that have an impact on the environment, such as addressing climate change impact and solutions, energy efficiency, waste management, pollution, and the broader impacts that a company and its products have upon the planet.

ESG integration

The process of including ESG factors in the fundamental financial analysis of companies and investments.

ESG fund ratings

Within the context of this report, the MSCI ESG fund rating is designed to measure the ESG risks and opportunities of a fund's underlying holdings, making it possible to rank or screen mutual funds and ETFs on a AAA to CCC ratings scale. This rating aims to provide fund level transparency and measures the ESG characteristics of the total portfolio. It is calculated as a direct mapping of MSCI ESG quality scores to letter rating categories. ESG Leaders are companies with an ESG rating of AAA or AA (best in class), and ESG Laggards are companies with an ESG rating of B or CCC.

Exclusionary focus or screening

Also known as negative screening. The process of excluding companies engaged in specific activities that are considered to be damaging, such as alcohol, tobacco, gambling, pornography and child labour.

Fossil fuels

Naturally produced energy sources, such as coal, oil and gas. It is scientifically proven that gases released from burning fossil fuels (such as carbon dioxide) are a leading cause of climate change.

Governance

The G in ESG. Also known as corporate governance. Refers to the rights and responsibilities of stakeholders and how well a company is run. Includes issues such as executive pay, corruption and board diversity.

Green Bonds

Bonds issued to fund environmentally friendly projects. These projects can include renewable energy infrastructure, energy efficiency improvements, and sustainable agriculture practices, among others. Proceeds from green bond offerings are specifically earmarked for these projects and are subject to independent verification to ensure that they meet certain environmental criteria.

Impact investing

Investments made with the intention of generating positive, measurable social and environmental impacts, where impact has priority over financial performance.

Negative screening

Also known as exclusionary focus or screening. The process of excluding companies engaged in specific activities that are considered to be damaging, such as alcohol, tobacco, gambling, adult entertainment and child labour.

Greenhouse Gas Emissions

Greenhouse gas emissions are classified as per the Greenhouse Gas Protocol and are grouped in three categories known as Scope 1, Scope 2 and Scope 3.

Scope 1 Emissions

Scope 1 GHG emissions are those directly occurring "from sources that are owned or controlled by the institution, including: on-campus stationary combustion of fossil fuels; mobile combustion of fossil fuels by institution owned/controlled vehicles; and "fugitive" emissions. Fugitive emissions result from intentional or unintentional releases of GHGs.

Scope 2 Emissions

Scope 2 emissions are "indirect emissions generated in the production of electricity consumed by the institution."

Scope 3 Emissions

Scope 3 emissions include an array of indirect emissions resulting from activities such as business travel, distribution of products by third parties, and downstream use of a company's products (i.e. by customers). These are important indicators to track separately as they signal how companies are exposed to transition risks through their business model (supplies they use and/or products they sell). Scope 3 emissions are based entirely on estimated data.

Financed Emissions

Financed emissions are the greenhouse gas emissions linked to the investment and lending activities of financial institutions like investment managers, banks and insurers. It's essentially the carbon footprint of a firm's investments or loans.

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